

<sup>3</sup>Excerpt from *The Little Book That Beats the Market* by Joel Greenblatt (Hoboken, NJ: John Wiley & Sons, 2006). Reprinted with permission of John Wiley & Sons.

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<sup>5</sup>The *small cap anomaly* refers to the premise that smaller cap stocks have a higher return than large cap stocks over the long run.

<sup>6</sup>Reform-minded Chancellor of the New York City Department of Education.

<sup>7</sup>The same trading concept also figures prominently in Chapter 7.